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The Hilton Young Commission

PURSHOTAMDAS, WHO HAD BEEN FOLLOWING Indian currency and exchange closely, was convinced that the rupee, overvalued at 1s 6d, worked against India's economic interests. He was a staunch advocate of the 1s 4d rate and fought the government on this issue both in as well as outside the Legislature. In 1925, he drafted an amending bill to be introduced in the Central Assembly for fixing the rate at 1s 4d. This required the assent of the Viceroy before it could be introduced in the Assembly. But before this could be done, Sir Basil Blackett, the Finance Member, got the Viceroy to agree to a detailed scrutiny of this vexed question.

It was against this background that the government, in August 1925, decided to appoint a Royal Commission on Indian Currency and Finance under the Chairmanship of Lt Cmdr Edward Hilton Young[1], 'to examine and report on the Indian exchange and currency system and practice, to consider whether any modifications are desirable in the interests of India, and to make recommendations.'[2] The English members included Sir Henry Strakosch;[3] Sir Norcot Warren, Managing Governor of the Imperial Bank; Sir Reginald A. Mant, the India Office representative; and exchange bankers, Sir Alexander Murray and William Preston. The Indian members apart from Purshotamdas were: Sir Rajendranath Mookerjee, Sir Maneckji B. Dadabhoy, and J.C. Coyajee, then professor of political economy and philosophy at the Presidency College, Calcutta.[4]

It was widely reported that Sir Basil Blackett, aware of Purshotamdas's views on the ratio question, had objected to his inclusion as a member on